



“In the past few years, vehicle prices at the entry-level segment went up much faster than buyers’ income levels [of that segment]... Further, the inflation scenario resulted in less money for mass-market consumers”

R.C. BHARGAVA,
CHAIRMAN, MARUTI SUZUKI INDIA LTD



“Aspiration and relevance are increasing in rural areas, but affordability remains challenging. We aim to crack affordability, which we see as a key driver for growth in these markets”

SUDHIR SITAPATI, MD & CEO, GCPL

tilal Oswal Financial Services, says weak growth in rural consumption during the past two years was primarily due to lower disposable income growth and poor monsoons.

Rajesh Shukla, MD and CEO of People Research on India’s Consumer Economy (PRICE), says the pandemic has significantly impacted the bottom 60% of India’s income pyramid, eroding savings while increasing debt. “Despite some recovery in this segment post-Covid-19, the lowest 20% still face challenges in returning to their pre-pandemic financial status,” he says. This group, primarily consumers of low-end two-wheelers and FMCG products, now thinks only about essential spending, emergency savings, and repaying debt.

High inflation and limited job openings are not helping matters.

PRICE’s ICE 360° surveys show that the average annual household income among the poorest 20% has fallen by 21% from ₹1.4 lakh in 2016 to ₹1.1 lakh in 2023. If adjusted for inflation, the real income levels in

2023 are even lower. The average annual household income of the upper middle class has increased by 33% and that of the richest 20% by 51%.

“The Indian economy is witnessing a significant shift towards premiumisation, driven primarily by the large middle class and affluent consumers who prefer high-end products in segments such as luxury cars, upscale houses, leisure holiday trips, high-end apparel, and personal care,” Shukla says. Growth in premium consumption is not confined to metropolitan elites; the aspirational households in boom towns, niche cities, and developed rural areas contribute significantly to this trend.

The financial distress in rural households has hurt manufacturers of consumer products across sectors. Data from Motilal Oswal shows that real agricultural wages contracted by 0.4% in FY24 and 0.8% in the March quarter. Real non-farm wages contracted by 0.1% for the third successive year in FY24, following a contraction of 1.1% in FY23. During the past three years (FY22-FY24), urban

consumption has outpaced rural consumption in each quarter, in contrast to FY20-FY21, when rural consumption grew faster.

Madan Sabnavis, Chief Economist at Bank of Baroda, says high inflation and rising prices have kept demand low. “Demand has been muted in rural and urban areas; demand has come from only one segment. People are spending more on services than goods and sectors such as tourism and hospitality, but here, too, it is only the middle- and high-income groups that are spending,” he says.

Sabnavis says bank credit for other personal loans has also been increasing by double digits, and people seem to be borrowing for consumption. Net household savings, which touched a high of ₹23.29 lakh crore in FY22 as the pandemic-led lockdown and mobility restrictions dampened consumption, have, however, fallen sharply since then due to various factors, including the release of pent-up demand, more credit demand, and the use of savings to fund current expenditure.

Per NSO data, gross financial savings of households rose nearly 14% to ₹29.73 lakh crore in FY23 from ₹26.11 lakh crore in FY22. Of this, savings in the form of gold and silver ornaments rose to ₹63,397 crore in FY23 from ₹61,327 crore in FY22. But financial liabilities of households rose to ₹15.57 lakh crore in FY23, a 73% jump from ₹8.99 lakh crore in FY22.

Net household savings in financial instruments fell to ₹14.16 lakh crore in FY23 from ₹17.12 lakh crore in the previous fiscal, a multi-year low. Price rises, or increases in the cost of living, have also impacted spending capabilities for many households. Retail inflation has remained above the Reserve Bank